3. **Online-only brokers (aka robo-advisors).** Robo-advisors are basically automated online financial advisors that provide financial management services and advice using algorithms and technology without the need of human financial advisors. They provide customized recommendations of diversified investments based on your individual situation and use software to manage your investments without the high cost of a real-life advisor. However, some robo-advisory firms also provide the option to get advice from a human financial advisor at an additional cost. They typically have very low minimum investment requirements, low fees, regular and automatic portfolio rebalancing, and automated investing, and in many instances they allow you to purchase fractional stocks. Examples of robo-advisors in the United States include companies like Acorns, Betterment, and Wealthfront.

Today it is common to find brokerage firms that provide some or all of these different types of broker services in one place. For instance, many full-service brokers offer discount broker services as well as robo-advisory services. Additionally, many robo-advisory services now offer discount broker services as well. Depending on where you start out, additional broker services might be offered to you as an upsell as your portfolio grows.

Which one should you choose? When starting out with your investment portfolio, you may choose to go with a discount broker or robo-advisor due to the low costs. Particularly for robo-advisors, keep in mind that since their investment recommendations are based on algorithms, they are not financial advisors. This means a robo-advisory firm's algorithm cannot provide you with the level of input that a human financial advisor can provide you if you need to discuss your unique life circumstances or investment objectives. However, as mentioned, some robo-advisory platforms may offer human financial advisory services for an additional cost. Regardless of which service you use, success comes from understanding what you are investing in, being clear about your objectives and risk tolerance, and spending the time to do necessary research to stay on top of your investments.